

2.2 VERTICAL FORMATS

VERTICAL FORM OF BALANCE SHEET

Name of the Company.....

Balance sheet as at.....

Particulars	₹	₹	₹
I. Sources of Funds:			
1. Owners' Funds / Shareholders' Funds : (a + b - c - d)			
(a) Share Capital :			
Equity Share Capital (called-up amount)	X		
Preference Share Capital (called-up amount)	X		
	X		
Less : Calls-in-arrears	X		
	X		
Add : Forfeited Shares Account	X		
	X		
		X	
(+ b) Reserves & Surplus :			
Capital Reserve	X		
Capital Redemption Reserve	X		
Share Premium	X		
General Reserve	X		
Foreign Project Reserve	X		
Investment Allowances Reserve	X		
Sinking Fund	X		
P & L Account (Credit Balance)	X		
		X	
(- c) Less : Miscellaneous Expenditure (to the extent not W/off) :			
Preliminary Expenses	X		
Issue Expenses (Underwriting Commission & Brokerage)	X		
Discount on Issue of Shares	X		
Loss on Issue of Debentures	X		
		X	
(- d) Less : Profit & Loss Account (Debit Balance)			
Net Worth / Proprietors Fund		X	X

2. Loan Funds**(a) Secured Loans**

Debentures / bonds

Loan from Bank & Financial Institutions

(b) Unsecured Loans

Public deposits

Total Funds Employed

II. Application of Funds (Funds Employed as Under)**[1] Fixed Assets :**

Goodwill *

Land

Leasehold

Building

Plant & Machinery

Computers

Air-conditioners

Furniture & Fixtures

Livestocks

Patents rights *

Trade marks *

Copyrights *

Loose Tools

Technical Know-how

Franchises

Vehicles

2. Long Term Investments :

Trade Investments

Investment in Govt Securities

Investment in immovable properties

Investment in Capital of partnership firm

3. Working Capital (a - b) :**Quick Assets**

(a)

Current Assets:

Debtors

Bills Receivable

Cash and Bank Balances

Accrued Income

Temporary Loans & Advances given

Marketable Securities

Income-tax refund due

Non-Quick Asset**Stock-in-trade (i.e. Inventory) :**

(i) Raw materials

(ii) W. I. P.

(iii) Finished Products :

Stock of Spares & Consumables

Prepaid Expenses

Deposits with excise, customs.

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

X

Quick

Non-C

Total

Less : (b) Current Liabilities:

Quick Liabilities	Bills Payable	X		
	Creditors for goods	X		
	Outstanding expenses	X		
	Unclaimed dividend	X		
	Interest accrued	X		
	Provision for taxation	X		
	Proposed dividend	X		
Non-Quick Liabilities	Short term loans	X		
	Bank Overdraft	X		
	Income received in advance	X		
			X	
Total Net Assets				X
				X

Vertical Income Statement

Particulars	₹	₹	₹
Sales			
Cash	X		
Credit	X	XX	
Less: Returns		X	XX
Loss: Cost of goods sold			
Opening Stock of R. M.	X		
Add: Purchases	X		
Add: Carriage / Freight			
Inward	X		
Add: Octroi / Import			
Duty	X	XX	
Loss: Closing stock of R. M.		X	XX
Add: Cost of Material Consumed			
Direct Wages		X	
Direct Expenses		X	
Factory Expenses		X	
Factory Salaries		X	
Factory repairs		X	
Factory rent & taxes		X	
Depreciation on Machinery, factory building, patents etc.		X	XX
Add: Opening stock of W. I. P.		X	
Less: Closing stock of W. I. P.		X	
Less: Sale of scrap		X	
Add: Opening stock of F. G.		X	
Less: Closing stock of F. G.		X	XX
Cost of Goods sold			XX
Gross profit			
Less: Opening Expenses			

(A) **Administrative Expenses:**

Office salaries
Office rent, rates & taxes
Insurance
Electricity for office
Printing and stationary
Depreciation on office assets
Postage and Telegram
Audit fees
Repairs
Legal Expenses
Directors fees
General Expenses
Conveyance

X
X
X
X
X
X
X
X
X
X
X
X
X
X

XX

(B) **Selling and Distribution Expenses:**

Salaries to salesmen
Rent of shop, show-rooms
Exhibition, Trade fair
Travelling / Van Expenses
Advertisement or Publicity
Depreciation on Delivery Van
Sales Discount / Commission
Normal Bad debts

X
X
X
X
X
X
X
X

XX

(C) **Finance Expenses:**

Cash Discount
Bank Charges
Abnormal bad debts
Bank Commission
Net operating profit before interest

X
X
X
X
X

XX

XX

Less: Interest Paid

Interest on debentures
Interest on Loans
Interest on public deposits
Interest on short term loans

X
X
X
X

XX

Net profits after interest

Add: Non-operating Income

Dividend on shares
Interest on debentures loan
Profit on sale of fixed assets
Profit on sale of Investments
Compensation received
Royalty received
Share transfer fees received

X

X
X
X
X
X
X
X

Less: Non-operating Expenses

Loss on sale of investment
Loss on sale of fixed assets
Compensation paid

X
X
X

Vertical Financial Statements

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Fictitious assets w/off

Net profit before tax

Less: Income tax

Add: Profit / Loss Account b/d

Less: Appropriations:

Sinking Fund

Provision for dividend

Transfer to reserve

Retained Earnings

x

x

xx

xx

xx

x

x

x

xx

xxx

PROFORMA OF COMMON - SIZE INCOME STATEMENT ...

Particulars	₹	% of Net Sales
Gross Sales (1)		
Less : Sales return (2)	X	
Net Sales (3)	X	
Less : Cost of goods sold (4)	X	
Opening Stock	X	100
(+) Purchases	X	
(+) Direct & Manufacturing Expenses	X	
(-) Closing Stock	X	
Gross Profit (5) = (3 - 4)	X	
Less : Operating Exps: (6)	X	
(a) Adm. Exps	X	
(b) Selling & Dist. Exps	X	
(c) Finance Exps	X	
Operating Net Profit (7) = (5 - 6)	X	
Add : Non-operating Income (8a)	X	
Less : Non-operating expenses/losses (8b)	X	
Net Profit (before tax) (9) = (7 + 8a - 8b)	X	
Less : Provision for tax (10)	X	
Net Profit after tax (11) = (9 - 10)	X	

Proforma Common-Size Balance Sheet

Particulars	₹	% of Fund Employed/ Total Net Assets
I. SOURCES OF FUNDS		
(1) Shareholders' Funds :		
(a) Share Capital :		
Preference Share	X	
Capital Equity Share Capital	X	
(a)	X	
(+)(b) Reserves & Surplus :		
Capital Reserve	X	
General Reserve	X	
Share Premium	X	
Less : Misc. Expenses & P & L A/c (Dr Bal)	X	
(b)	X	
(a + b)	X	

(2) **Loan Funds : (Long term Loans)**

Debentures

Bank Loans Fixed

Deposits from public

X

Capital Employed

(1+2)

II. APPLICATION OF FUNDS :**1. Fixed Assets (at cost less depr.)**

Goodwill

Land & Building

Machinery etc

(1)

2. Investments

In Government securities

In Shares of other companies

(2)

3. Net Current Assets : (a-b)

(a) Current Assets, Loans & Advances :

(i) **Current Assets :**

Stock in trade

Debtors

Cash & Bank

(ii) **Loans & Advances :**

Prepaid Exps.

Bills Receivable

Advance to Suppliers

Advance to Staff

(a)

(b) **Current Liabilities & Provisions :**(i) **Current Liabilities :**

Bills Payable

Creditors

O/S Exps.

(ii) **Provisions :**

Provision for tax

Proposed Dividend

(b)

3 = (a - b)

Net Assets (1 + 2 + 3)

X

X

X X

XX

X

X

X

X

X

X

X

X

X

X

X

X

X

X

m

X

X

X

X

X

X

X

XX

Common

Question

Prepare

Equity

Preference

Reserve

Debenture

Current

Total

Solution

SOURCE

(1) Pro

Equity

Preference

Add R

(2) Lo

Debent

APPLI

(1) Fixe

(2) Inve

(3) Wo

A. Cur

B. Less

Question

Fol

Share C

Securitie

General

Capital

6% Gov

Bank Lo

Bank

A Proforma of Comparative Balance Sheet

Particulars	Previous year	Current year	Increase/Dec.	Increase/Dec.
	(₹)	(₹)	Amount	%
			(Col 2 - Col 1)	(Col 3/Col 2 × 100)
SOURCES OF FUNDS				
1. Shareholders' Funds :				
(a) Share Capital :				
Preference Share Capital	X	X		
Equity Share Capital	X	X		
(a)	X	X		
(b) Reserves & Surplus :				
Capital Reserve	X	X		
General Reserve	X	X		
Share Premium	X	X		
(b)	X	X		
(a + b)	XX	XX		
(-) (c) Less : Misc. Expenses & P & L A/c (Dr. Bal)	X	X		
1. (a+b) - c	XX	XX		
2. Loan Funds: (Long term Loan)				
Debentures	X	X		
Bank Loans	X	X		
Fixed Deposits from public	X	X		
XX	XX	XX		
Capital employed (1+2)				

II. APPLICATION OF FUNDS :**1. Fixed Assets (at cost less depr.):**

Goodwill

Land & Building

Machinery etc.

(1)

2. Investments :

In Government securities

In Shares of other companies

(2)

3. Net Current Assets: (a-b)**(a) Current Assets, Loans & Advances :****(i) Current Assets :**

Stock in trade

Debtors

Cash & Bank

(ii) Loans &

Advances :

Prepaid Exps.

Bills Receivable

Advance to Suppliers

Advance to Staff

(a)

(b) Current Liabilities & Provisions :**(i) Current**

Liabilities :

Bills Payable

Creditors

O/s Exps.

(ii) Provisions :

Provision for tax

Proposed Dividend

(b)

Working Capital 3 = (a - b)

Net Assets (1+2 + 3)

*

*

Note : Comparative Balance sheet can be prepared by showing Total Assets & Total Liabilities in vertical order

sheet and provide the same

Comparative Income Statement

Particulars	Previous year (₹)	Current year (₹)	Increase/Decrease	
			Amount ₹	%
Sales	X	X		
Less : Cost of goods sold	X	X		
Gross Profit (a)	X	X		
Less : Operating Expenses				
(i) Administrative Exps	X	X		
(ii) Selling & Distribution Exps.	X	X		
(iii) Finance Exps.	X	X		
Total Operating Expenses (b)	X	X		
Operating Net Profit (a - b) = (c)	X	X		
Add : Non-Operating Incomes (d)	X	X		
Less : Non-Operating Exps. (e)	X	X		
Net Profit (before tax) (c + d - e) = (f)	X	X		
Less : Provision for Tax (g)	X	X		
NET PROFIT (AFTER TAX) (f - g = h)	X	X		

How to calculate % of Increase / Decrease

$$\% \text{ of increase / decrease} = \frac{\text{Difference in Amount}}{\text{Amount of base year}} \times 100$$